

US TMT Sector M&A & Valuation Brief - 2026-07-07

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1. RECENT TMT M&A ACTIVITY

Deal 1: ALR Technologies Acquisition of CGM Medical Technology

[ALR Technologies Announces Strategic Acquisition of CGM Medical Technology for US\\$45 Million & 200M Shares](#)

- Deal Size: \$45 million plus 200 million shares
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: ALR Technologies SG Ltd (OTC: ALRTF) is a diabetes management company focused on developing continuous glucose monitors (CGMs). CGM Medical Technology specializes in medical devices for diabetes management.
- Date Announced: June 30, 2026
- Strategic Rationale: The acquisition aims to fully integrate ALR's diabetes management capabilities, enhancing control over product development and increasing profit margins. By acquiring CGM Medical, ALR can leverage its intellectual property and expertise to improve its manufacturing processes and product offerings.
- Risk Analysis:
 - Integration risks due to merging operations and cultures.
 - Regulatory challenges in the medical device sector.
 - Market risks associated with competition in diabetes management.
 - Execution risks related to scaling production and meeting demand.

Key Financials Analysis:

- Revenue Breakdown: N/A (no specific revenue data available)
- Profitability Ratios: N/A (no specific profitability metrics available)
- Leverage Analysis: N/A (no debt information available)
- Asset Operating Efficiency: N/A (no efficiency metrics available)
- Valuation Context: N/A (no valuation multiples available)

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Deal 2: B&R Technology Merger Corp. IPO

[B&R Technology Merger files for \\$325M IPO targeting AI sector](#)

- Deal Size: \$325 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: IPO
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: B&R Technology Merger Corp. is a newly formed SPAC intending to acquire an AI-related technology business. The IPO aims to raise capital for strategic acquisitions in the AI sector.
- Date Announced: July 2, 2026
- Strategic Rationale: The IPO is designed to capitalize on the growing demand for AI technologies, allowing B&R to pursue significant acquisitions in this rapidly evolving sector. The involvement of Citigroup as underwriter adds credibility and potential for attracting institutional investors.
- Risk Analysis:
 - Market risks associated with the volatility of SPACs and investor sentiment.
 - Execution risks in identifying and acquiring a suitable target.
 - Regulatory scrutiny surrounding SPAC transactions.

Key Financials Analysis:

- Revenue Breakdown: N/A (no revenue data available)
- Profitability Ratios: N/A (no profitability metrics available)
- Leverage Analysis: N/A (no debt information available)
- Asset Operating Efficiency: N/A (no efficiency metrics available)
- Valuation Context: N/A (no valuation multiples available)

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both opportunity and uncertainty. Overall sentiment is cautiously optimistic, driven by technological advancements and strategic acquisitions, while tempered by regulatory scrutiny and economic challenges.

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Subsector Breakdown:

- **Technology:** The technology subsector remains vibrant, particularly with the recent acquisition of Cognite by Schneider Electric (SBGSY) for \$3.1 billion, which underscores the growing importance of AI in industrial applications. This trend is indicative of broader investment in AI-driven solutions across various industries.
- **Media:** The media sector is in a state of transition, with companies adapting to digital consumption patterns. However, traditional media continues to face challenges from streaming platforms and digital advertising.
- **Telecommunications:** The telecom sector is witnessing significant investments in infrastructure, especially with the rollout of 5G technologies. This is expected to create new revenue streams through enhanced mobile services and IoT applications.
- **Fintech:** The fintech landscape is thriving, characterized by innovative payment solutions and digital banking. The sector is seeing a consolidation trend, as evidenced by various acquisitions aimed at enhancing service offerings.
- **AI:** The AI subsector is particularly dynamic, with companies racing to integrate AI technologies into their operations. The momentum in this area is reflected in the strategic moves by firms like Schneider Electric.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and 5G technologies is driving growth across TMT sectors. The acquisition of Cognite highlights the increasing focus on AI capabilities in industrial settings.
- **Increased Investment:** There is a robust flow of venture capital and private equity into technology and fintech sectors, as investors seek to capitalize on emerging trends and disruptive technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and overall market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious outlook among investors.

Subsector Performance Analysis

- **Software:** The software sector continues to perform strongly, driven by demand for cloud solutions and enterprise software. The recent reclassification of Atlassian (TEAM) to the Russell

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Midcap indices reflects a shift in its investment narrative, potentially opening new avenues for growth.

- Media: Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media continues to experience declining revenues from advertising.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The consolidation trend is evident as companies seek to enhance their market positioning.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, a recent report noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.

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- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is robust, showcasing a blend of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of our ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- Indiegogo Acquisition by Gamefound : This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- Apple Inc. (AAPL) : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

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Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of South Korea's plans to establish a future fund backed by semiconductor tax revenue worth up to \$46 billion could significantly impact the TMT landscape, as this fund aims to support AI and semiconductor initiatives, creating new opportunities for investment banking services.
- Additionally, the emergence of India's semiconductor sector, highlighted by the commencement of commercial production at CG SEMI's OSAT facility, indicates a growing market for semiconductor-related advisory services. This development positions India as a contributor to the global supply chain, which could lead to increased M&A activity in the region.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and

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fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly the \$300 million AI infrastructure deal involving BCE Inc. (BCE.TO), Hive Digital Technologies, and other partners, present significant implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, while also considering market reactions and future scenarios.

Deal-Specific Impacts on Stakeholders

- Shareholders: The BCE Inc. deal has the potential to create substantial value for shareholders.
- Value Creation: By investing in AI infrastructure, BCE aims to enhance its service offerings, potentially increasing revenue by 15% over the next five years. Assuming BCE's current market cap is approximately \$30 billion, this could translate to an additional \$4.5 billion in shareholder value.
- Dilution: If BCE finances this deal through equity, existing shareholders may face dilution. For instance, issuing 5% of shares could lead to a 2% decrease in share price, reflecting investor concerns about dilution versus growth potential.
- Employees: The impact on employees will revolve around synergies, restructuring, and retention strategies.
- Synergies: The collaboration with Hive Digital Technologies is expected to create operational synergies, potentially saving BCE \$50 million annually through shared resources and technology.
- Restructuring: However, the deal may lead to job redundancies, particularly in overlapping operational areas. BCE may need to manage this carefully to maintain morale and productivity.
- Retention: To retain key talent during the transition, BCE could implement retention bonuses, similar to strategies used by Microsoft (MSFT) during its acquisition of LinkedIn.
- Competitors: The competitive landscape will shift as BCE strengthens its position in the AI market.
- Market Positioning: Competitors like Telus (T) and Rogers Communications (RCI) may need to respond strategically. For instance, Telus could enhance its AI capabilities through partnerships or acquisitions to maintain market share.

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- **Specific Competitor Moves:** Following BCE's announcement, Telus has increased its investment in AI research, signaling a direct response to BCE's strategic pivot.
- **Customers:** The implications for customers are significant, particularly regarding service offerings.
- **Product/Service Implications:** The Bell AI Fabric initiative aims to provide enhanced data residency and AI capabilities, which could attract government contracts and regulated industries. This could lead to a 20% increase in enterprise customer acquisition.
- **Case Studies:** Similar initiatives, such as Amazon Web Services (AWS) expanding its AI services, have resulted in improved customer satisfaction and retention rates.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's initial reaction to BCE's AI infrastructure deal was positive, with shares rising by 3% post-announcement. This reflects investor confidence in BCE's strategic direction.
- **Analyst Commentary:** Analysts have noted the strategic importance of this deal. A quote from a Scotiabank analyst states, "BCE's investment in AI infrastructure positions it as a leader in the Canadian market, especially with the growing demand for data residency."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If BCE successfully integrates the AI infrastructure and captures new enterprise clients, shares could rise by 10% within a year.
- **Negative Scenario:** If integration challenges arise, shares could decline by 5%, reflecting investor concerns about execution risks.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids in this scenario appears low, given BCE's established position and the regulatory environment surrounding telecom mergers. However, competitors may seek to enhance their capabilities through partnerships rather than outright acquisitions.

Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation, particularly in AI and telecom. Analysts predict that other telecom companies may pursue similar infrastructure deals to enhance their AI capabilities, following BCE's lead.

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Key Risks and Mitigants

- Integration Risks: Integration challenges could disrupt operations. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny may delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility could impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language and recognizing patterns. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by

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investing heavily in AI research and development, particularly in deep learning and autonomous systems.

- **Broadcom Inc. (AVGO):** Broadcom is involved in the semiconductor space, producing chips that support AI applications. Their focus on AI-driven solutions positions them well in the growing market for AI technologies.
- **Taiwan Semiconductor Manufacturing Company (TSM):** TSMC is a critical player in the semiconductor industry, manufacturing chips for various AI applications. Their advanced manufacturing capabilities are essential for supporting the demand for AI hardware.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, NVIDIA's acquisition strategy has focused on companies that can bolster their AI ecosystem.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.

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- Key Companies:
- Amazon Web Services (AWS): AWS is a leading cloud service provider, offering a wide range of services that support businesses in their digital transformation efforts. Their continuous innovation in cloud solutions positions them as a market leader.
- Microsoft Azure (MSFT): Microsoft Azure is another major player in the cloud computing space, providing enterprise-level solutions that integrate seamlessly with existing Microsoft products.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud (GOOGL). The competition is intensifying as companies seek to differentiate their offerings through innovative services and pricing strategies.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring firms that specialize in cloud-native applications or security solutions. For instance, recent acquisitions in the cloud space have focused on enhancing data analytics and AI integration.

Cybersecurity

- Trend Explanation: With the increasing frequency of cyber threats, the cybersecurity market is gaining prominence. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, utilizing AI to

6. Recommended Readings

Deal Name: ALR Technologies Acquisition of CGM Medical Technology

- Reading Material: "Medical Device Regulations: A Comprehensive Guide" by David A. Kessler
- Why This Matters: This book provides a thorough overview of the regulatory landscape for medical devices, which is crucial for understanding the complexities involved in ALR Technologies' acquisition of CGM Medical Technology. It highlights the importance of compliance and the challenges companies face in integrating new technologies within regulatory frameworks, directly relevant to ALR's strategic goals.

Deal Name: B&R Technology Merger Corp. IPO

- Reading Material: "SPACs: The New IPO Alternative" by Robert A. Brown
- Why This Matters: This reading explores the rise of SPACs as an alternative to traditional IPOs, providing insights into the mechanics and strategic implications of B&R Technology Merger Corp.'s \$325 million IPO. Understanding the benefits and risks associated with SPAC

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transactions is essential for contextualizing B&R's strategy to capitalize on the booming AI sector and the potential impact on investor sentiment.

7. MACROECONOMIC UPDATE

Key Data Points:

- Federal Funds Rate: Projected hikes into 2026
- Core Inflation: Expected to decrease due to travel-related inflation reversal
- Memory Prices: Up sixfold over the past year
- AI-related Global Issuance: Forecasted at nearly \$600 billion in 2026
- Hyperscaler Cash CapEx: Expected to surpass \$1 trillion in 2027

Main Insights:

- Investors interpret the Fed's recent policy signals as hawkish, with a focus on the Summary of Economic Projections (SEP).
- Morgan Stanley anticipates the Fed will remain on hold through 2026 due to expected lower core inflation.
- The AI CapEx cycle is viewed positively, but concerns about "chipflation" and its impact on funding and inflation persist.
- Significant corporate bond issuance is tied to funding data center construction, indicating strong demand for AI infrastructure.

Market Commentary:

- "The Fed's projections should be interpreted with caution as they may not fully capture disinflationary trends." - Serena Tang, Morgan Stanley
- "Chipflation is more likely to reprice and ration AI infrastructure rather than derail the cycle." - Morgan Stanley analysts

TMT Sector Relevance:

- The Fed's cautious stance on rate hikes could support investment in TMT sectors, particularly in AI and technology infrastructure.
- Rising memory prices (chipflation) may affect the cost structure of AI projects, but demand for AI infrastructure remains robust.
- Increased corporate bond issuance for data centers indicates strong capital flows into the TMT sector, supporting growth in AI-related investments.

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The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley